

FUNDING AGREEMENT

Entered into by and between

EASTERN CAPE DEPARTMENT OF HUMAN SETTLEMENTS (ECDHS), a Provincial Department in the Government of the Republic of South Africa herein represented by **MR. E.D.Q VENN** in his duly authorized capacity as Acting **HEAD OF DEPARTMENT (HOD)**.

And

KOUGA LOCAL MUNICIPALITY (KLM), a local sphere of government herein represented by **MR. CHARL DU PLESSIS** in his duly authorized capacity as the **MUNICIPAL MANAGER (MM)**, being the Implementing Agent.

In Re

APPOINTMENT AS AN IMPLEMENTING AGENT FOR THE UPGRADING OF 9 INFORMAL SETTLEMENTS PROGRAM (UISP) FOR PHASE 1 TO 3, MORE SPECIFICALLY THE FORMAL UPGRADING, NAMELY HUMANSDORP-BANGALOWS 103; PATENSIE-CYRIL RAMAPHOSA 278; JEFREREYS BAY-NO R10 58; JEFFREYS BAY-OCEANVIEW 1250; HUMANSDORP-SHUKUSHUKUMA 93; HUMANSDORP-POLAR PARK (KWANOMZAMO) 553; HUMANSDORP-PALOR PARK (KWANOMZAMO (KWANOMZANO) 257; HUMANSDORP-DONKERHOEK 234; THORNHILL 160 UNDER KOUGA LOCAL MUNICIPALITY.

PREAMBLE

ECDHS & KOUGA LOCAL MUNICIPALITY In Re IMPLEMENTING AGENT FOR UPGRADING OF 9 INFORMAL SETTLEMENTS PROJECTS PHASE 1 TO 3

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A. **MANDATED** by the provision of section 26 of The Constitution of the Republic of South Africa, 1996 which acknowledges provision of adequate housing as a fundamental human right and compels the state to take reasonable legislative and other measures, within its available resources to achieve the progressive realization of this right.

B. **CONCEIVED** by section 26 of The Constitution, The Housing Act 107 of 1997 at Section 7 requires every provincial government, after consultation with relevant stakeholders, to do everything in its power and available resources to promote and facilitate the provision of adequate housing in its province as guided by the precincts of National housing legislation, National Housing Code, and policies.

C. **INSPIRED** by the Batho Pela principles on service delivery, and the Principles of Co-operative Governance and Intergovernmental relations encapsulated in Chapter 3 of The Constitution, the Eastern Cape Department of Human Settlements (ECDHS) hereby enters into this Funding Agreement with the entity named in the immediate paragraph below for upgrading of 9 informal settlements projects under Kouga Local Municipality to be rolled out in terms of the Upgrading of Informal Settlements Program (UISP)..

D. **AND WHEREAS** the parties to this Agreement are.

D1. The Eastern Cape Department of Human Settlements (ECDHS), as the principal funder of all subsidy housing projects in the province.

D2. Kouga Local Municipality, being the Implementing Agent (IA) of the 9 Informal Settlements projects.

NOW it is hereby agreed as follows by the Parties:

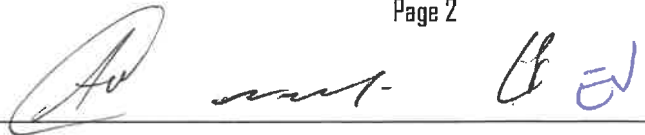
1. THE PURPOSE

1.1 The purpose of this agreement is the provisioning of Project funds for upgrading 9 informal settlements projects amounting to **R 68 968 781** (*sixty eight million nine hundred and sixty eight thousands seven hundred and eighty one Rands only* **VAT @ Zero Rate**) and a **5% Management Fee**, calculated from the Total Project Funds as depicted in Table 1 below, in the Kouga Local Municipality.

1.2 The project funds quoted in Clause 1.1 above shall be utilized strictly for the upgrading of 9 informal settlements in Kouga Local Municipality in

ECDHS & KOGA LOCAL MUNICIPALITY In Re IMPLEMENTING AGENT FOR UPGRADING OF 9 INFORMAL SETTLEMENTS PROJECTS PHASE 1 TO 3

Page 2



accordance with the UISP subsidy instrument encapsulated in the National Housing Code, as amended.

- 1.3 The Total Project Funding for upgrading of 9 informal settlements from phase 1 to Phase 3 is reflected in **Table 1** below.

Table 1.

PROJECT NAME	UNITS	RATE/UNIT	TOTAL
1. Humansdorp-Bangalow	103		2 379 030.29
2. Patensie-Cyril Ramaphosa	278		6 421 072.04
3. Jeffreys Bay-R10	58		1 339 648.12
4. Jeffreys Bay- Oceanview	1250		28 871 726.81
5. Humansdorp-Shukushukuma	93		2 148 56.47
6. Humansdorp- Polar Park	553		12 722 851.94
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8. Humansdorp-Donkerhoek	234		3 695 581.03
9. Thornhill	160		3 695 581.03
Sub-Total	2986		68 968 781.00
ADD 5% Management Fee			3 448 439.05
Total Project Funds	2986		72 417 220.05

SOURCE: Appointment Letter signed by Accounting Officer dated 30 October 2023

- 1.4. Payment procedure for claims shall be in accordance with Progress Payment System which states that claims must be certified by ECDHS and be paid per milestone achieved and Value Creation in accordance with approved Project Implementation Plan attached herewith.
- 1.5. Any interest accruing to these Project Funds shall be paid back to the department on a Monthly basis and such Monthly Interest Reports to be submitted to the department as part of the Monthly and Quarterly Progress Reports.

2. **INTERPRETATION.**

- 2.1 In this agreement and unless inconsistent with the context:
- 2.1.1 words of one gender shall include words of the other gender.
- 2.1.2 words importing the singular shall be deemed to import the plural and vice versa.
- 2.1.3 headings to clauses shall not serve as a means of interpretation of such clause.

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2.2 The following words and expressions shall, unless inconsistent with context have the meanings assigned to them hereunder.

"application" the original application as amended, submitted by the Municipality to department for Housing subsidy funding.

"area" the area is Humansdorp, Jeffreys Bay, Patensie and Thornhill in Kouga Local Municipality.

"beneficiary" an individual who are allocated subsidy housing units within the area or who receives a subsidy in the 9 projects.

"Development programme" the programme of implementation provided by Municipality for the completion of the project in accordance with the provisions of this agreement, sometimes called the Project Implementation Plan (PIP) copies of which are annexed hereto as Annexure B.

"ECDHS" the Eastern Cape Department of Human Settlements or its successor-in-title.

"effective date" the date of signing of this Agreement by both parties unless where a specific date is provided.

"external services" all primary water, sewerage, electricity and storm water services as well as the road network, herein referred to as bulk infrastructure to which internal services are to be linked.

"Housing Subsidy Instrument" the Upgrading of Informal Settlements Program (UISP) being the instrument applicable to this project to be



administered by the ECDHS in accordance with the requirements of the National Department of Housing.

"Code" the National Housing Code as amended from time to time and issued by the National Department of Housing.

"IRDP" means the Upgrading of Informal Settlements Program referred to in the Housing Code.

"Municipality" as defined in terms of Section 2 of the Municipal Systems Act 2000. Act 32 of 2000 as amended, within whose jurisdiction the project is situated.

"National database" the database maintained by the National Department of Housing which contains the names and identity numbers of persons who have previously received financial assistance from the Government of the Republic of South Africa to acquire residential property.

"Advance payment" means progress payments to be paid to the Municipality by the department in terms of this agreement on value creation as more fully stipulated in the Payment Schedule attached herein as Annexure C.

"project" the development as described in clause 1.1 of this agreement.

"Provincial policy" the policy of the ECDHS about the provision of subsidies and development of low-income housing projects.



"resolution" the resolution of the MEC setting out the terms and conditions upon which the application was approved, a copy of which is annexed hereto marked **"Annexure A"**

"subsidy" the IRDP grant to Municipality in accordance with the terms and conditions of the Housing Subsidy Scheme as described in the Code and which is paid to the Municipality in accordance with the terms and conditions of this agreement.

"Top-structure" a 40m² dwelling constructed on a serviced site built to approved plan and specifications of the projects.

"MEC" means the Member of the Executive Council of the Eastern Cape Provincial Government contemplated in section 132 of the Constitution whose portfolio includes the responsibility for the provision of Housing.

"IA" means Implementing Agent as envisaged in the National Housing code as amended.

"Employer" means the department, the principal funder of this project.

"Contract Data" means all pre and post tender contract information, scope, terms of reference, supporting documents including bid documents detailing the terms and conditions of the project.

2.3 This agreement incorporates:

- | | | |
|-------|---------------------|----------------------------------|
| 2.3.1 | Annexure "A" | Appointment Letter |
| 2.3.2 | Annexure "B" | Project Implementation Plan/ PIP |
| 2.3.3 | Annexure "C" | Payment Schedule |
| 2.3.5 | Annexure "D" | Housing Plans or Lay Out Plan |



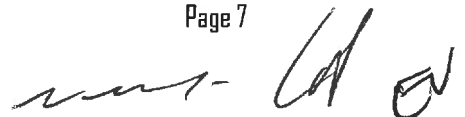
3. PROJECT ORIGINATION

- 3.1 The appointment was approved on 30 October 2023 by Accounting Officer.
- 3.2 The project brief is the upgrading of 9 informal settlements projects in Koga Local Municipality.
- 3.3. The funds being released in terms of this agreement by the Department are for Indirect Costs, Direct Costs and the 20% Variance allowable.

4. MUTUAL COOPERATION

- 4.1 The ECDHS and the Municipality hereby undertakes to cooperate with each other in the execution of the project according to.
 - 4.1.1 The terms and conditions of this agreement,
 - 4.1.2 The provisions of the Housing Act 107 of 1997, National Housing Code and Provincial Policy,
 - 4.1.3 The Principles of Co-operative government and Intergovernmental relations contained in Chapter 3 of The Constitution of The Republic of South Africa, 1996 as amended.
 - 4.1.4 The contents of the respective application / submission and MEC approval.
 - 4.1.5 Any other condition the Department or Municipality may specify in the Contract Data.

5. DUTIES AND OBLIGATIONS OF ECDHS



5.1 The Eastern Cape Department of Human Settlement is the principal funder of this project, and its duties shall include the following.

5.1.1 To plan and compile project descriptions.

5.1.2 To pay the Municipality the total budget in Table 1 above.

5.1.3 All payments to municipality shall be in advance to the accredited developer as directed by the National Housing Code 2009, as amended.

5.1.4 Beneficiary identification, administrative support and other demand management issues pertinent to the housing databases in support of the municipality.

5.1.5. Joint monitoring, inspection, management, and certification of the project in cooperation with the municipality.

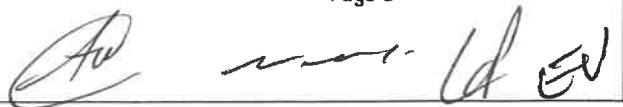
5.2 Payments:

5.2.1 As consideration for the funding of the project, the Department has approved a total amount of **R 68 968 781** *(Sixty-eight million nine hundred and sixty eight thousands seven hundred and eighty one Rands only VAT @ Zero Rate) plus a 5% Management Fee, calculated from the Total Project Funds* as illustrated in clause 1.3 at Table 1 above, in Kouga Local Municipality.

5.2.2 The Parties agree that should the Department call upon the Municipality to perform any services not falling within the scope of the Services set out in Schedule of Rates annexed hereto as Annexure C, then the Department shall pay remuneration at the rate as stipulated therein.

5.2.3. **Claw-Back Clause:**

Where it is apparent that the municipality will not be able to utilise the housing subsidy budget allocated in terms of this agreement, the ECDHS shall in its sole discretion or after consultation with National Department



be entitled to reallocate the projected unutilised portion during the budget year to other priority housing projects.

5.3 Lodgement of Claims by Municipality to Department:

The Parties agree to the following procedure for the lodgement of claims against the total subsidy amount.

5.3.1 The Municipality will be entitled to progress payments of the total Contract Price as outlined in the Payment Schedule of the project attached here as Annexure C.

5.3.2 The department shall pay the municipality the whole Contract Price in Progress Payments on value actually created on condition that the funds are utilized exclusively for the project.

5.3.3 As and when the Municipality becomes entitled to receive any Progress payment, it must:

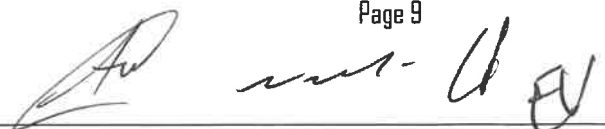
5.3.3.1. Submit a claim in respect of the value created to the department in writing.

5.3.3.2. Support such claim with proof that the funds shall be utilized exclusively for bulk infrastructure to 7 informal settlements projects listed herein.

5.3.3.3. After payment of each Progress Payment Claim to the municipality under this agreement, Department must update the project information in the HSS 2000 System.

5.3.4 If at any time the Department pays the Municipality an amount in excess of the amount to which it is entitled in terms of this agreement, or any overpayment for whatever reason.

5.3.4.1. Municipality must upon demand refund any overpayment to the ECDHS provided that if the Municipality fails to make such repayment by a date stipulated in a demand letter from the ECDHS, then the amount owing will accrue interest at the rate of interest equal to the published prime overdraft rate charged from time to time by First National Bank of South Africa Limited to its most favored customers, such interest to be calculated and compounded monthly in arrears, with effect from the date upon which the refunding of the over payment is demanded up and until and including the day upon which repayment is received; and / or

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5.4.2.2. The department shall be entitled to set off the amount of any such over payment together with interest calculated in terms of clause 5.2.4.1 above against later payments due in respect of the project.

5.4. Lodgment of Claims by Service Providers and Contractors to Municipality:

5.4.1. The municipality shall only honor certified claims made against value actually created on the project submitted by the Contractors and service providers on the project.

5.4.2. All municipality approved claim payments shall be payable within 30 days of receipt by the Municipality from Contractors or service provider into their relevant approved bank account.

6. DUTIES AND OBLIGATIONS OF MUNICIPALITY.

6.1. The Municipality shall play the role of Implementing Agent (IA) assuming all the functions given to all Local Government spheres of governance by The National Housing Code, and the duties and obligations of Municipality in terms of this Agreement shall be deemed to be generic to those encapsulated therein.

6.2. For avoidance of any doubt, it is recorded here that the Municipality as the IA in the project shall assume and be responsible for the following rights, duties and obligation.

6.2.1 Receive funding for the project as follows.

(a) See Table 1 and 2

6.2.2. Monitoring, Inspection and Management of the project

6.2.3. Joint Certification of Claims with the department.

6.2.4. Timely and efficient appointment of Contractors, service providers and other professionals on the project.

6.3 The Municipality hereby confirms that it shall endeavour to have available the required infrastructure to these projects.



6.4 The Municipality confirms that bulk-infrastructure shall be installed to the area/erven where services and top structures have been installed as indicated in the agreement referred to in clause 1.1 above.

6.5 The municipality confirms that the appointments stated in paragraph 6.2.4 above shall be strictly in terms of the Local Government: Municipal Finance Management Act (MFMA) and its regulations.

7. **PROJECT IMPLEMENTATION PLAN.**

7.1 Both parties, by attesting signature to this agreement acknowledge that **time is of the essence** for implementation of this project and therefore adherence to the project programme is a material term of this agreement and undertake.

7.1.1 To, withing 3(three) months upon signing of this agreement commence procurement processes to appoint competent contractors and service providers in accordance with the National Housing Policy and the MFMA.

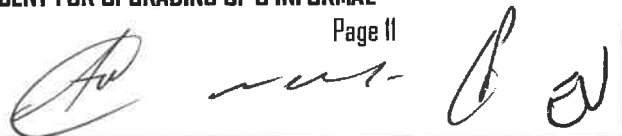
7.1.2 To commence and complete the project within the periods provided for in the Project Implementation Plan – as per **Annexure B**.

7.1.3. To meet any interim time periods provided for in the project Programme with effect from the effective date and until completion of the project.

7.2 **Appointment of contractors**

7.2.1 The Municipality shall arrange where applicable for the appointment of service providers (builders, contractors, and labourers etc.) in accordance with the terms and conditions of this Agreement.

7.3 If the Municipality fails to stay within the time / monthly progress indicated in the P.I.P or any extension thereof, the department shall have the right without prejudice to any other rights available, to **recover a penalty of 2 (two) percent calculated on the value not created in a particular month as forecast by the PIP in the development programme** provided that should actual figures exceed



predictions in ensuing months, such positive progress be taken into account when applying future penalties i.e. "negative progress will be set-off against positive progress" in future months.

8. GENERAL INFORMATION.

8.1. Both parties are entitled to.

- a) Request any information from the other party pertaining to the project.
- b) Inspect the project and any records or documentation pertaining thereto.
- c) Call meetings with all relevant stakeholders on the project who shall be obliged to attend.

8.2. The parties pledge to provide to each other all available information, at no cost, to facilitate and enhance the speedy completion of the project.

8.3 The Municipality shall submit monthly progress reports to the ECDHS Division: Project Management and Quality Assurance of the ECDHS at the end of each consecutive month with effect from the effective date, which reports shall set out the status of the project, whether Municipality and contractors or service providers are adhering to the programme and the reasons for any delays which may have been experienced.

9. RISK / INDEMNIFICATION

9.1 Damage to the works.

Municipality shall from date of commencement of the project until completion bear the full risk of and hereby indemnifies the ECDHS against any damage or destruction of the works during time of construction and prior to the beneficiary

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taking occupation. Municipality shall take such precautions, security measures and other steps for the protection of the works as it may deem necessary.

9.2 Injury, death of persons.

Municipality shall be liable and hereby indemnifies the ECDHS against any liability, loss or claim or proceeding whether arising in common law or by statute consequent upon personal injuries to or death of any person whomsoever arising out of or in the course of execution of the project unless such injury or death is due to the negligence of a person for whom the municipality is not responsible.

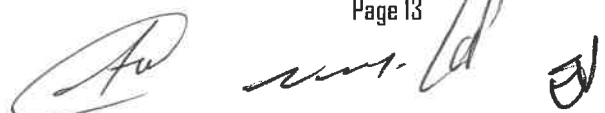
9.3 Loss of or damage to property.

Municipality shall be liable and hereby indemnifies the ECDHS against any liability, loss or claim or proceeding consequent upon loss or damage to movable, immovable, or personal property whether belonging to the Municipality or the ECDHS or any other person arising out of or in the course of execution of the project unless same is due to the negligence of a person for whose actions the municipality is not legally liable.

10. INSURANCES.

10.1 The Municipality shall ensure that all contractors employed under this Agreement are adequately insured, or at the contractor's own cost has construction works insurance to cover the entire projects. Where the services to be rendered are professional services, service provider should provide adequate Professional Indemnity Insurance.

11. CESSION OF AGREEMENT

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11.1 Neither party shall be entitled to cede and assign its rights and obligations in terms of this agreement to a third party without the prior written consent of the other party.

12. **BREACH**

12.1 In the event of any party committing a breach of this agreement and failing to remedy such breach within 21 (twenty-one) days of receipt of a notice of such breach, the aggrieved party shall, if such breach is material, be entitled to cancel this agreement and claim damages without prejudice to any of its other rights in law. If the breach is not material, the aggrieved party shall be entitled to sue for specific performance and claim damages without prejudice to any other right it has in law.

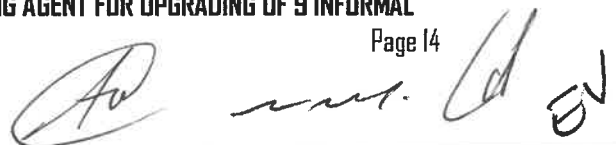
12.2 This agreement shall immediately terminate.

12.2.1 should any judgment in respect of any debt in any Court of Law be obtained against any party and remain unsatisfied for a period of 14 (fourteen) days after notice of such judgement has come to the attention of the judgment debtor,

12.2.2 Should any application be made for sequestration or by liquidation of either party to this agreement.

12.3 The ECDHS reserves the right to terminate this Agreement should the Municipality fails to adhere to agreed milestone and time frames indicated in the Project Implementation Plan.

13. **DOMICILIUM**

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13.1 All notices to be given in terms of this agreement shall be given in writing and shall be addressed and delivered as follows: -

13.1.1 In the case of the Department:

- a) either by registered mail to Private Bag X13008, 5206
- b) or by hand delivery to Steve Tshwete Building, 31-33 Phillip Frame Road, Waverly, Park, East London
- c) or by fax to number 043 7119634.

13.1.2 In the case of the Municipality:

- a) P.O. Box 21, Jeffreys Bay 6330 or.
- b) 33 Da Gama Road, Jeffreys Bay.

13.2 Either Party may change any of its addresses aforementioned by giving seven (7) days' written notice to that effect to the other Party.

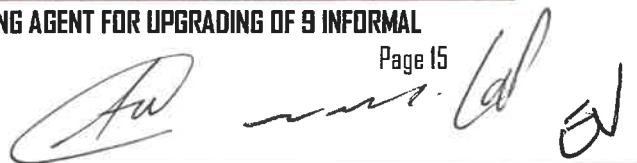
13.3 Written notice of any change in *domicilium citandi et executandi* shall be delivered by hand or sent by pre-paid registered post to the intended recipients.

14. VARIATIONS

14.1 No variation, modification, or waiver of any provision of this agreement or consent or any departure shall in any way be of any force or effect unless confirmed in writing and signed by the parties.

15. WHOLE AGREEMENT

15.1 The terms and conditions set out herein, including all annexure, constitute the entire agreement between the parties. No amendment or



variation of whatsoever nature of the terms hereof and no consensus
cancellation of this agreement shall be binding unless reduced to writing
and signed by all parties.

THUS, SIGNED AT REPEY'S DAY ON THIS 16th DAY OF FEBRUARY 2024.

WITNESSES:

1. [Signature]
2. [Signature]

[Signature]
CHARL DU PLESSIS
MUNICIPAL MANAGER
KOGA LOCAL MUNICIPALITY
27 February 2024

THUS, SIGNED AT E.L. THIS 27th DAY OF FEBRUARY 2024.

WITNESSES:

1. _____
2. _____

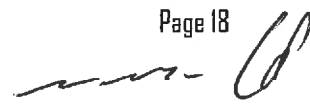
[Signature]
MR. E.D.Q VENN
Acting HEAD OF DEPARTMENT
ECDHS

[Signature] [Signature] [Signature]

ANNEXURE A - RESOLUTION OF THE ECDHS

mar. GSN

ANNEXURE B – PROJECT IMPLEMENTING PLAN

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ANNEXURE C - PAYMENT SCHEDULE

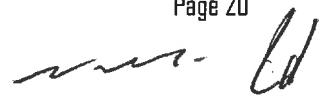
Table 1.

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Sub-Total	2986		68 968 781.00
ADD 5% Management Fee			3 448 439.05
Total Project Funds	2986		72 417 220.05

- SOURCE:**
1. Appointment Letter signed by Accounting Officer dated 30 October 2023
 2. The ECDHS will only honour Certified Claims made in terms of Progress Payment against value created and milestones actually achieved.
 - 3 Failure by the Municipality to comply with the PIP and timeframes provided above shall attract a Penalty of 2% calculated on the sum total of the milestones missed per month.



ANNEXURE D – PROJECT LAYOUT PLANS AND DIAGRAMS

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